

The 6:15

THURSDAY · OCTOBER 1, 2026

NO. 22

THE BOARD

CALENDAR · NEXT 10 DAYS

Thu 10/1, 10:00a ET	September ISM Manufacturing PMI
Thu 10/1, after close	Nike FQ1 2027 earnings; consensus \$0.44 EPS / \$11.33B rev, 23 analysts (Alphastreet)
Thu 10/1, 8:00p ET	Yankees host Red Sox, ALWC Gm 3 (decisive), Yankee Stadium (NBC/Peacock)
Fri 10/2, 8:30a ET	September Nonfarm Payrolls (BLS)
Fri 10/2, 8:00p ET	Northwestern hosts Penn State (3-1), Ryan Field (venue debut)
Sat 10/3	ALDS Gm 1 — Yankees/Red Sox winner at Tampa Bay
Sun 10/4	OPEC+ 68th JMMC meeting
Mon 10/5	Knicks preseason opens at Philadelphia
Tue 10/14, 8:30a ET	September CPI
Wed 10/15, 8:30a ET	September PPI

Standing: FOMC next meets Oct. 27-28; funding runs on the Dec. 11 continuing resolution, no shutdown risk [continuity]. US-China truce to Jan. 10 unchanged since Monday [continuity]. No new frontier-AI release or rocket launch verified this run; Starship Flight 15 date still TBD — not re-flagged each issue.

METRICS · ET UNLESS NOTED

Brent / WTI / spread	\$100.36 (+2.38%) / \$92.01 (+1.76%), both intraday (no settle yet) / ~\$8.35
2y / 10y / 30y	4.91% (-0.2bp) / 5.32% (+2.7bp) / 5.66% (+2.5bp), ~6a ET
DXY	101.91 (+0.45%), extending Monday's 101.36
S&P / Nasdaq futures / VIX	not confirmed as of press time (not sourced this run); VIX 16.60 (+1.59%, 5:57a ET indicative)
Gold	\$4,159.43 (+0.04%), climbing toward \$4,200 on the PCE miss
Asia / Europe	Nikkei 69,046.00 (+3.43%, closed ~2:30a ET); Hang Seng 24,613.27 (+0.37%, Wed close). FTSE

10,443.53 (-1.53%), DAX 25,034.31 (-0.65%), CAC 7,869.99 (-1.19%) — all intraday, ~5:45-6:20a ET, not closes

Retail gas (AAA)	\$4.4768/gal as of 9/28 (not reconfirmed today)
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Brent/WTI, equity futures and European cash levels are all pre-settlement/pre-close reads as of this writing, not today's final prints — treat as directional. 10y/30y levels and the "2002/2007/2004-high" framing used in prior issues diverge across sources this morning; this issue reports level and change only rather than pick a record-era claim.

HORMUZ COUNTERS

Transits	1 on Sept. 27 vs. 85/day pre-crisis baseline (IMF PortWatch, still most recent published day)
Vessels holding	135 AIS-visible, 23:50 UTC Sept. 30 (straits.live/Windward) — down from 244 (Sept. 29) and 233 (Sept. 28)
Strikes, 24h / running total	3 tankers hit by unidentified projectiles Tue night (UKMTO) — see Iran & Hormuz; running total not independently tallied by this brief
War-risk premia	~10% hull value fleet-wide; ~\$10M per transit on a \$100M tanker (carried from issue No. 21; straits.live premia feed degraded today)
Crisis Pressure	"Extreme" band, flat over 24h, transit deviation the sole driver (straits.live — single-sourced)

Transit counts (PortWatch, lagged), stranded-vessel counts (AIS, same-day volatility) and war-risk premia (insurance-market reporting, periodic) measure different things over different windows and vendors; never averaged or differenced here. The 109-vessel overnight drop (244 → 135) is one data point, not yet treated as a trend.

TRANSACTIONS

Yankees	ALWC series tied 1-1 after Wed's 4-3 Gm 2 win; decisive Gm 3 tonight, 8:00p ET
Knicks	No reported moves in the last 24 hours
Northwestern	No reported moves in the last 24 hours

LEAD

RATES — PCE COOLS, HORMUZ DOESN'T

Fed hike odds crater to roughly 35% on a soft PCE print — but oil is up anyway, after the worst

night of tanker strikes in weeks

August PCE, released Wednesday at 8:30a ET, came in cooler than consensus on every line the Fed watches: headline PCE +0.3% m/m (cons. +0.4%) and +3.4% y/y (cons. 3.7%); core PCE +0.2% m/m (cons. +0.3%) and +3.0% y/y (cons. 3.3%, down from 3.3% in July). [fact] Two caveats belong next to the headline, not below it: part of the year-over-year cooling traces to a BEA methodology change in how several price categories are measured, applied retroactively back to 2021, which complicates a clean trend read; and the personal saving rate fell to a near-four-year low, meaning households are outspending income even as prices cool — not the combination a clean soft-landing story is made of. [fact/read]

The market reaction was immediate and large. CME FedWatch's probability of a quarter-point hike at the Oct. 27-28 meeting fell to roughly 35% (one tracker put it at 34.9%), down from about 71% a week earlier; Kalshi and Polymarket converged in the same 33%-39% band by Thursday morning. [fact] That is a reversal of this brief's Tuesday report of 65%-72% hike odds — one of the largest single-data-point swings in this series since the Sept. 16 hike itself. [fact]

What didn't follow is crude. Brent is \$100.36 and WTI \$92.01 as of roughly 6a ET, up 2.38% and 1.76% respectively with no settle yet [flag] — a dovish inflation print would ordinarily pull oil down with yields; instead both benchmarks are higher, because the overnight story in the Strait of Hormuz overwhelmed it. UKMTO reported three separate tankers struck by unidentified projectiles entering or transiting Hormuz Tuesday night: a crude tanker hit on its port side, a second tanker hit while transiting inbound, and an LNG tanker also struck — the busiest stretch of tanker strikes since the Sept. 23 Cape

Dao attack, and on top of the Kuwaiti supertanker Al Funtas hit Sept. 28. [NEW, fact] No casualties were reported in any of the three; UKMTO has not attributed the attacks to any party, and an uncorroborated social-media claim blaming Iran should be read as exactly that. [flag]

The mechanism is the thing to understand, not just the two headlines separately: the oil complex is currently being priced off the Hormuz risk premium, not off the Fed's inflation data, and today is a clean demonstration of that decoupling. A genuinely dovish PCE print should have pulled the 10-year and the dollar down alongside crude easing; instead the 10-year is roughly flat on the day at 5.32% (+2.7bp), the 30-year similarly flat at 5.66% (+2.5bp), and the dollar index actually firmed to 101.91 (+0.45%) [read] — consistent with energy-linked inflation risk offsetting the growth-friendly data rather than confirming it.

The second-order consequence lands squarely inside the Oct. 27-28 decision window. A Fed that was leaning toward a second 2026 hike on sticky, largely oil-driven inflation now has real cover to hold if PCE keeps cooling into the Oct. 14 CPI and Oct. 29 PCE prints — but if Hormuz attacks keep pushing crude higher between now and then, the hike case reasserts itself before the Committee meets, on a different transmission channel than the one that just eased. Tomorrow's payrolls report, tonight's Nike print, and the decisive Yankees-Red Sox game are each lower-stakes than this question, but all land inside the same 48 hours the market now has to use to decide which of this morning's two contradictory signals — a dovish PCE or a hawkish Hormuz — is the one that actually sets the tone into next week. [read]

Watch for a genuine tell: whether the counter-proposal the Trump administration sent to Tehran Wednesday through Qatari mediators (Iran & Hormuz, below) produces any de-escalation signal before the weekend. Absent that, it is Hormuz, not the Fed, setting the risk tone right now — a reversal of the roles those two stories played as recently as Tuesday's issue.

ECONOMICS

Today's September ISM Manufacturing PMI (10:00a ET) is the next read on whether tariff-driven input costs are showing up in prices paid — a secondary inflation channel the Fed will weigh against Wednesday's cooler PCE rather than in isolation. [read] Tomorrow's September payrolls report (8:30a ET) is the more load-bearing release of the two: a Fed that just watched hike odds collapse to roughly 35% will be reading NFP for whether cooling inflation is arriving alongside a cooling labor market, which would support a hold, or whether employment stays firm enough to keep a hike live going into Oct. 27-28. [read] CPI follows Oct. 14 and PPI Oct. 15, both now carrying more weight than they did a week ago given how far Wednesday's single data point moved the odds. [read] No consensus forecast for today's ISM print had been located as of this writing. [flag]

BUSINESS

Nike reports FQ1 2027 after today's close on the consensus this brief cross-verified Tuesday: \$0.44 EPS and \$11.33B revenue across 23 analysts (Alphastreet), down 11% and 3% y/y; one additional estimate surfaced since then puts consensus EPS slightly higher at \$0.45, within normal dispersion rather than a meaningful revision.

[fact] The tariff line remains the one to watch inside the print: roughly half of Nike's footwear sourcing runs through Vietnam (46% tariff rate) versus 18% from China, and the company has already guided to a \$1B gross tariff hit and raised its FY26 margin-headwind estimate once, from roughly 75bp to 120bp. [fact, continuity] None of that is changed by today's China-truce status, whose goods list (toys, holiday goods) still doesn't touch footwear or apparel. [continuity] A macro backdrop where the Fed is now seen as more likely to hold than hike is a mild tailwind for consumer-discretionary multiples broadly — the kind of support that matters more if tonight's tariff-margin guidance disappoints than if the headline beats. [read] No results yet as of this writing. [flag]

GEOPOLITICS

Russia launched 49 attack drones and five missiles at Ukraine overnight, per the Ukrainian Air Force; most were intercepted, but strikes caused damage and injuries in several oblasts, including Kharkiv. [NEW, fact] Casualty figures beyond "injuries reported" were not consistently sourced across outlets as of this writing and are not repeated here pending same-day confirmation. [flag] No new confirmed Houthi-Saudi exchange since the Sept. 26 intercept reported in issue No. 20; the Makkah Joint Defense Agreement stands as last reported. [continuity]

IRAN & HORMUZ

The Trump administration sent a counter-proposal to Tehran through Qatari mediators Wednesday; Foreign Minister Araghchi presented it to Iran's Cabinet, and neither side has disclosed its terms. [NEW, fact] It follows Trump's public rejection last week of Iran's own seven-day Hormuz-reopening plan and Araghchi's Tuesday statement that Tehran would not "back down" from its conditions while still seeking "real diplomacy" over a resumption of war. [continuity] Whether the US counter-proposal engages the sequencing dispute this brief has tracked since Tuesday — sanctions relief and frozen-asset access before or after a nuclear deal — is not yet known. [flag]

Physically, overnight was the most active stretch in weeks: UKMTO reported three tankers struck by unidentified projectiles Tuesday night — a crude tanker hit on its port side, a second hit while transiting inbound, and an LNG tanker also struck — with no casualties reported and no attribution from UKMTO. [NEW, fact]

That is in addition to the Kuwaiti supertanker Al Funtas, struck Sept. 28, and the Sept. 23 Cape Dao torpedo attack that killed one crew member. Despite the escalation, the AIS-visible vessel-holding count fell sharply to 135 as of 23:50 UTC Sept. 30, down from 244 the day before (Board) — a counterintuitive move large enough that this brief treats it as noise, not signal, pending another day's data. [flag] Transit data remains lagged at 1 vessel on Sept. 27 against the 85/day pre-crisis baseline. War-risk premia could not be refreshed this run: straits.live flagged its own premia feed as degraded, so the Board carries forward issue No. 21's last confirmed range rather than estimate a new one. [flag] Crisis Pressure sits in the "extreme" band, flat over 24 hours, driven solely by transit deviation; the Escalation Forecast eased from "rising" Wednesday to "easing" as of this morning, though straits.live itself labels that read low-confidence given the same data gaps. [read, single-sourced]

SPORTS

Yankees	ALWC tied 1-1 after Wed's 4-3 Gm 2 win; decisive Gm 3 tonight, 8:00p ET, Yankee Stadium (NBC/Peacock).
Knicks	No game; preseason opens Mon. 10/5 at Philadelphia.
Northwestern	2-1, no game since Sept. 25 loss at Indiana; hosts Penn State (3-1) Fri. 10/2, 8:00p, Ryan Field.

Continuity. Cut from issue No. 21 as unmoved: Politics (US-China truce detail, unchanged since Monday) and Technology (no new frontier-AI release or launch this run) — both dropped rather than re-adjectived. Not refreshed this run: today's European and Asian cash closes (still mid-session as of writing), S&P/Nasdaq futures (not sourced), same-day AAA gas, and Hormuz war-risk premia (straits.live feed degraded). Watch for next issue: the Iran counter-proposal's terms and Tehran's response; tonight's Gm 3 result and the ALDS matchup; Nike's actual print and whether tariff-margin guidance moves again; Friday's payrolls; whether the 244 – 135 Hormuz vessel-count drop holds or reverts.

Unverified figures are marked in red above. No Brent/WTI settle this morning; S&P/Nasdaq futures not sourced; AAA gas carried from 9/28; war-risk premia carried from issue No. 21; the 135-

vessel Hormuz count is a single overnight read; UKMTO tanker-strike attribution is unconfirmed. Nothing was estimated or filled from memory.